

25NNCV04398 25NNCV04398

County: los-angeles

Division: Civil Law and Motion

Department: D

Hearing date: 2026-08-28

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Case Number: 25NNCV04398 Hearing Date: August 28, 2026 Dept: D

TENTATIVE RULING

Calendar: 6

Date: August 28, 2026

Case No: 25NNCV04398 Trial Date: Not yet set

Case Name: Oakhurst Opportunity Lending Fund I, LP v. Hu, et al.

MOTION TO SET BENCH TRIAL

[CRC rules 3.729 and 3.1335]

Moving Party: Plaintiff, Oakhurst Opportunity Lending Fund I, LP

Responding Party: Defendant/Cross-Complainants, Aiton Capital Inc. and Chicago Title Company

RELIEF REQUESTED:

An order from this Court setting the initial bench trial on Plaintiff's equitable causes of action in August or September 2026, or as soon thereafter as the Court can accommodate.

CAUSES OF ACTION: from First Amended Complaint

1) Quiet Title

2) Declaratory Relief

3) Cancellation of Instruments

4) Injunctive Relief

5) Slander of Title

CAUSES OF ACTION: from Aiton Capital, Inc.'s Cross-Complaint

1) Conversion

2) Unjust Enrichment

3) Money Had and Received

4) Declaratory Relief

CAUSES OF ACTION: from Bank of America N.A.'s Cross-Complaint

1) Interpleader

2) Declaratory Relief

CAUSES OF ACTION: from Citizen Business Bank's Cross-Complaint

1) Interpleader

CAUSES OF ACTION: from Chicago Title Company's Cross-Complaint

1) Equitable Indemnity

2) Contribution

SUMMARY OF FACTS:

Plaintiff Oakhurst Opportunity Lending Fund I, LP ("Plaintiff") alleges that it is the owner of real property on Old Mill Road in San Marino, which it acquired through a non-judicial foreclosure sale in April of 2024 by a successful credit bid. Plaintiff alleges that its successful credit bid and title to the premises is reflected in a Trustee's Deed Upon Sale dated May 6, 2024, and recorded on May 7, 2024.

Plaintiff alleges that following the purchase, certain individuals, including a borrower on whom Plaintiff had foreclosed its security interest, failed to vacate the property. Plaintiff commenced unlawful detainer proceedings, and ultimately obtained a judgment and writ of possession following judgment in the eviction action. Possession was restored in Plaintiff and an abstract of judgment recorded in May of 2025.

In June of 2025, Plaintiff alleges that it first learned that defendants Hsu Kun Fu ("Fu"), California Escrow Group ("CEG"), Chicago Title Company, and Aiton Capital Inc. had caused title to the property to be transferred fraudulently to defendant James Hu ("Hu"), as reflected in two public recorded documents, a Grant Deed Recorded on May 30, 2025, and a Deed of Trust recorded on May 30, 2025. Plaintiff alleges that the fraudulent grant deed was signed by an individual named Hsu Kun Fu ("Fu") as "Manager" of Plaintiff, when Fu has no affiliation with Plaintiff, and he had no authority to execute the fraudulent grant deed. Plaintiff alleges on information and belief that Fu presented the escrow company, defendant California Escrow Group, with fraudulent corporate entity documents for Plaintiff. Plaintiff alleges that, as further indicia of this fraudulent scheme, Plaintiff received none of the sale proceeds from the purported \$12,000,000.00 sale of the property.

Defendant Aiton Capital, Inc. ("Aiton Capital") filed a cross-complaint against Fu as a cross-defendant, along with other parties. The cross-complaint alleges that Aiton Capital made a loan to Hu for purposes of the alleged fraudulent transaction. After payment of fees and other costs, the sum of \$4,687,271.67 was wired to defendant Chicago Title Company as sub-escrow agent. Chicago Title Company then paid tax obligations associated with the property and wired the remaining balance to defendant California Escrow Group. According to the cross-complaint, California Escrow Group, acting in accordance with instructions purportedly provided by Fu as Plaintiff's representative, wired the funds into a checking account ending in 6339 at Choice Financial Group ("Choice"), a bank in North Dakota. The cross-complaint alleges that documents produced by Choice show that there was also a savings account ending in 5277 opened in Plaintiff's name with Hu, the buyer in the alleged fraudulent transaction, as the authorized signatory and 100% beneficial owner of the Choice accounts.

The cross-complaint alleges various relevant transactions to, from, and between the Choice accounts, and alleges that one or more of the cross-defendants Fu, Hu, Cole Harris (the previous owner and occupant of the subject property), and/or Cindy Chen Harris, acting individually or in concert with one another, have misappropriated the loan funds provided by Aiton Capital solely for the use by Hu, the ostensible buyer of the property, solely for the purported purchase of the property. Specifically, it is alleged that these cross-defendants, in connection with the alleged fraudulent transaction, have dissipated funds from the Choice accounts to the transferee cross-defendants, Dlight Investment, LLC, Hades, LLC, Husdow US, Inc., and California Premiere Escrow Group, and/or the bank cross-defendants, Bank of America, N.A., East West Bank, and Citizens Business Bank.

ANALYSIS:

"A party seeking to advance, specially set, or reset a case for trial must make this request by noticed motion or ex parte application under the rules in chapter 4 of this division." (CRC, rule 3.1335, subd. (a).) "The request may be granted only upon an affirmative showing by the moving party of good cause based on a declaration served and filed with the motion or application." (CRC, rule 3.1335, subd. (b).) "In setting a case for trial, the court, at the initial case management conference or at any other proceeding at which the case is set for trial, must consider all the facts and circumstances that are relevant." (CRC, rule 3.729.)

Plaintiff moves the Court for an order setting a bench trial date on Plaintiff's equitable causes of action for quiet title, declaratory relief, cancellation of instrument, and injunctive relief. Plaintiff requests that the Court set the initial bench trial on its equitable causes of action in August or September 2026, or as soon thereafter as the Court can accommodate. Plaintiff expects that the initial trial will take no more than one or two days to complete. (Woodward Decl., ¶ 4.)

Aiton asserts that due to Aiton's and Plaintiff's counsel's calendar conflicts, the earliest mutually available trial date is December 7 or 14 of 2026, or February 2027 or later due to January conflicts. (King Decl., ¶¶ 2-3; Pistone Decl., ¶¶ 14-15.) Chicago Title Company similarly asserts that trial realistically cannot be held before December 2026 and otherwise defers to Aiton and Plaintiff as to when the bench trial can feasibly take place.

The parties have conducted significant discovery thus far. (Pistone Decl., ¶¶ 12-15.) Aiton states that the discovery remaining to be completed includes the deposition of Cross-Defendant Cole Harris, and the deposition of Plaintiff's realtor, Sarah Rogers. Aiton notes that scheduling Harris's deposition has been difficult because he is currently in custody of the bureau of prisons. (Pistone-Decl., ¶ 9, Ex. 1.) Aiton also expects to retain four experts, who have not yet been designated. (Pistone-Decl., ¶ 13.) Accordingly, Aiton argues that the earliest date that it could be fully prepared for bench trial would be December 2026.

Thus, based on the foregoing, the Court sets the bench trial for December 14, 2026 at 9:00 a.m. The FSC is set for December 3, 2026 at 9:00 a.m. An OSC re ADR Compliance is set for November 18, 2026 at 8:30 a.m.

RULING:

Plaintiff, Oakhurst Opportunity Lending Fund I, LP's Motion to Set Bench Trial is GRANTED.

The Court hereby sets the bench trial on Plaintiff's equitable claims for causes of action one through five of the Complaint.

DEPARTMENT D IS CONTINUING TO CONDUCT AND ENCOURAGE

VIDEO APPEARANCES

If you wish to appear remotely on LACourtConnect, you may register by visiting www.lacourt.ca.gov to schedule a remote appearance. Please note that LACourtConnect offers free audio and video appearances. Department D is now requiring either live or VIDEO appearances, not audio appearances.